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NATURE OF PROCEEDINGS: Hearing on Defendant Travelers Casualty and Surety Company of America’s Motion to Compel Arbitration and Stay Proceedings

The Motion to Compel Arbitration filed by Travelers Casualty and Surety Company of America is denied.

BACKGROUND

Plaintiffs Alejandro W. Orellana and Laura Vega Granados (collectively, Plaintiffs) filed this action against AHC Acquisition LLC, doing business as LA City Cars (Dealer). Plaintiffs later named Travelers Casualty and Surety Company of America (Travelers) as Doe 11.

Plaintiffs allege that on June 6, 2025, they visited Dealer’s lot in Inglewood after reading Dealer’s advertising that its used vehicles are hand-selected and put through a comprehensive multi-point inspection. Dealer’s staff disclosed that the 2023 Jeep Wrangler Plaintiffs were shown (the Vehicle) had been in a minor accident, but assured Plaintiffs that the Vehicle had been thoroughly inspected and was in fine condition. Plaintiffs signed a Retail Installment Sale Contract (the RISC) and took delivery. A body shop later found that the Vehicle’s frame was cracked, that the damage was severe, and that the Vehicle is unsafe to drive. Plaintiffs also allege that Dealer never secured registration of the Vehicle, so Plaintiffs cannot lawfully operate it. Vehicle Code section 11710 required Dealer to obtain a $50,000 bond conditioned on its not practicing fraud, and Travelers issued that bond. The Eighth Cause of Action, the only claim pleaded against Travelers, seeks recovery on the bond under Vehicle Code section 11711.

The causes of action are: (1) Violation of the Consumers Legal Remedies Act, Injunctive Relief; (2) Violation of the Consumers Legal Remedies Act, Restitution and Damages; (3) Violation of Business and Professions Code section 17500; (4) Violation of Business and Professions Code section 17200; (5) Intentional Misrepresentation; (6) Violation of Penal Code section 496, subdivision (a); (7) Rescission under Civil Code section 1689; and (8) To Enforce Liability Under Dealer's Bond.

Travelers filed a Motion to Compel Arbitration and to stay this action pending completion of arbitration. Plaintiffs filed an Opposition.

LEGAL STANDARD

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists…." (Code Civ. Proc., § 1281.2.) "The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability." (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.) The petitioner carries that burden by a preponderance of the evidence. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972.)

Arbitration is a matter of consent. Because the right to arbitrate depends on a contract, one must ordinarily be a party to an arbitration agreement to invoke it or to be bound by it. (DMS Services, LLC v. Superior Court (2012) 205 Cal.App.4th 1346, 1352.) California and federal courts recognize limited exceptions under which a nonsignatory may compel arbitration of, or be compelled to arbitrate, a dispute within the scope of an agreement: (1) incorporation by reference; (2) assumption; (3) agency; (4) veil piercing or alter ego; (5) estoppel; and (6) third party beneficiary. (Id. at p. 1353.) Where, as here, the agreement provides that any arbitration under it is governed by the Federal Arbitration Act, state contract law still determines whether a nonsignatory may enforce the agreement. (Arthur Andersen LLP v. Carlisle (2009) 556 U.S. 624, 630-631.)

ANALYSIS

I. Enforcement of the Arbitration Provision by a Nonsignatory

Travelers did not sign the RISC. It argues that it may nonetheless compel Plaintiffs to arbitrate on three grounds: that the arbitration provision reaches disputes involving third parties who did not sign the contract; that Plaintiffs' claims are intimately founded in and intertwined with the RISC, so that equitable estoppel applies; and that a surety's liability is derivative of its principal's, so that the claim on the bond must follow the claims against Dealer into arbitration. Plaintiffs respond that Travelers is not a party to the RISC and that Ford Motor Warranty Cases forecloses each theory.

A. The Text of the Arbitration Provision

The threshold question is what Plaintiffs agreed to. The RISC states:

> Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action.

(Landa Decl., ¶ 5, Ex. 2.)

The RISC identifies the Buyer and Co-Buyer as “you” and the Seller-Creditor, LA City Cars, as “we” or “us.” (Landa Decl., Ex. 1.) Travelers is not named anywhere in the RISC. It does not contend that it is an employee, agent, successor, or assign of Dealer.

Travelers rests on the parenthetical reference to relationships with third parties who do not sign the contract. Our Supreme Court has construed materially identical language and rejected that reading. The provision opens and closes with references to the signatories, and the third-party language describes the subject matter of the disputes that the buyer and the dealer agreed to arbitrate between themselves. It means that a dealer sued over the condition of a vehicle may elect to arbitrate that claim. It does not bind the buyer to arbitrate with strangers to the contract. (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1133-1137 (Ford).) Read as a whole, the provision is an agreement between Plaintiffs and Dealer about the forum for their own disputes.

B. Equitable Estoppel

A nonsignatory may compel a signatory to arbitrate when the signatory's claims against the nonsignatory are intimately founded in and intertwined with the contract containing the arbitration clause. (Metalclad Corp. v. Ventana Environmental Organizational Partnership (2003) 109 Cal.App.4th 1705, 1713, 1717 (Metalclad).) The doctrine rests on a fairness rationale. A plaintiff who has agreed to arbitrate disputes arising out of a contract may not vindicate the provisions of that contract that benefit it while escaping its own promise to arbitrate, whether by recasting its claims or by suing a nonsignatory. (Ford, supra, 17 Cal.5th at p. 1133.) The essential concern is whether the plaintiff seeks to enforce contractual terms that benefit it while avoiding its own agreement to arbitrate. (Ibid.) Merely referring to an agreement that contains an arbitration clause is not enough. (Goldman v. KPMG, LLP (2009) 173 Cal.App.4th 209, 218 (Goldman).) "[U]nless a party to an arbitration agreement has used the substantive terms of that agreement as the foundation for his claims against a nonsignatory, there is no reason in equity why he should be forced to arbitrate his claims against the nonsignatory." (Id. at p. 235.)

Ford is similar to this case. The plaintiffs there bought vehicles from various dealerships and signed form sale contracts containing the same arbitration provision. They sued the manufacturer, not the dealerships, for violations of the Song-Beverly Consumer Warranty Act and for fraudulent inducement. The manufacturer, a nonsignatory, moved to compel arbitration on an estoppel theory. Our Supreme Court affirmed the denial of that motion. The plaintiffs' causes of action did not depend on or invoke any term of the sale contracts, and they could not be read as seeking a benefit from those contracts. The manufacturer's obligations came from statute and from conventional fraud duties rather than from the contract in which the arbitration clause appeared. (Ford, supra, 17 Cal.5th at p. 1126.)

Here, the only claim against Travelers is the Eighth Cause of Action to enforce liability under the dealer's bond. That claim incorporates paragraph 3 of the FAC and the Second and Fifth Causes of Action, for violation of the CLRA and for intentional misrepresentation. (FAC ¶ 102.) It seeks no relief under any term of the RISC. Vehicle Code section 11711, subdivision (a), gives a right of action against the dealer, the dealer's salesman, and the surety on the dealer's bond to any person who suffers loss or damage by reason of the dealer's fraud or fraudulent representation, or by reason of the dealer's violation of Division 3 of the Vehicle Code. The obligation Plaintiffs seek to enforce against Travelers is statutory. The duty not to defraud a buyer and the duties the CLRA imposes exist without regard to the RISC.

The allegations in the FAC further demonstrate that the terms of the RISC are not at issue. Plaintiffs allege misrepresentations on Dealer's website and by Dealer's sales staff about inspection and the Vehicle's condition, made before Plaintiffs signed anything. (FAC ¶¶ 7-9, 23.) They allege that Dealer failed to secure the Vehicle's registration. (FAC ¶ 21.) Those claims would look the same had Plaintiffs paid cash and signed no financing contract. As in Ford, the claims rest on statutory duties and on the common law of fraud, not on the terms of the sale contract.

Travelers argues that Plaintiffs cannot establish its liability without proving the same predicate misconduct by Dealer, and that the claims against Dealer and Travelers are therefore inherently inseparable. Ford rejected a similar argument. That the dispute would not have arisen but for the sale does not convert obligations imposed by statute into terms of the sale contract. (Ford, supra, 17 Cal.5th at pp. 1128-1138.) Factual overlap in what a plaintiff must prove is not the test. The test is whether the plaintiff relies on the substantive terms of the agreement in which the arbitration clause appears. (Goldman, supra, 173 Cal.App.4th at p. 235.)

Travelers next argues that Plaintiffs seek a direct benefit from the RISC by invoking the surety's coverage as added security. The bond is not a benefit conferred by the RISC. It is a condition of Dealer's license imposed by Vehicle Code section 11710, and it is enforceable under Vehicle Code section 11711. Plaintiffs' access to it does not depend on the RISC.

The Seventh Cause of Action, which seeks rescission of the RISC, is pleaded against Dealer alone, and it is not incorporated into the claim against Travelers. (FAC ¶¶ 89, 102.) The estoppel inquiry looks to the nature of the claims the plaintiff asserts against the nonsignatory. (Goldman, supra, 173 Cal.App.4th at p. 235.) Moreover, a claim to rescind a contract induced by fraud seeks to undo the contract rather than to enforce its terms.

C. Third Party Beneficiary

“A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.” (Civ. Code, § 1559.) A nonsignatory claiming that status must establish that it is likely to benefit from the contract, that a motivating purpose of the contracting parties was to provide it a benefit, and that permitting it to enforce the contract is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

Travelers makes no showing on any element. It is not named in the RISC. The arbitration provision identifies who may elect arbitration and extends to Dealer’s employees, agents, successors, and assigns, a list that does not describe a surety. Nothing in the RISC suggests that a motivating purpose of Plaintiffs and Dealer was to confer a benefit on Dealer’s surety, and Travelers offers no evidence of the circumstances of contracting that would suggest otherwise.

D. Surety Principles

Travelers’ remaining argument is that a surety’s liability is commensurate with that of its principal (Civ. Code, § 2808), and may be neither larger in amount nor more burdensome (Civ. Code, § 2809), so that the claim against the surety must follow the claims against the principal into arbitration. Those sections measure the extent of a surety’s liability. They say nothing about the forum in which liability is determined. A surety does not acquire its principal’s contractual right to elect arbitration by operation of either section, and Travelers cites no authority holding that it does.

Boys Club of San Fernando Valley, Inc. v. Fidelity & Deposit Co. (1992) 6 Cal.App.4th 1266 (Boys Club) does not require otherwise. There, a contractor obtained a performance bond that incorporated the construction contract by reference. Because the bond incorporated the contract, including its arbitration clause, the surety had agreed to arbitrate and could be compelled to do so. (Id. at pp. 1271-1274.) The right to arbitration still depended on a contract. (Id. at p. 1271.) Travelers has not placed the bond in the record. Nothing before the Court shows that the bond incorporates the RISC or its arbitration provision. A bond issued under Vehicle Code sections 11710 and 11711 secures losses caused by the dealer's fraud, and its terms are read in light of those statutes rather than as security for the covenants of the sale contract. (See Pierce v. Western Surety Co. (2012) 207 Cal.App.4th 83, 90.)

Accordingly, the Court concludes that Travelers has not carried its burden of proving an agreement to arbitrate between itself and Plaintiffs, and that no recognized exception permits Travelers, as a nonsignatory, to enforce the arbitration provision in the RISC.

II. Stay

Because the Court denies the Motion to Compel Arbitration, it likewise denies the requested stay. (See Code Civ. Proc., § 1281.4.)

CONCLUSION

The Motion to Compel Arbitration filed by Travelers Casualty and Surety Company of America is denied. Travelers' request to stay this action pending arbitration is denied. Travelers has fifteen days to file a response to the First Amended Complaint. (Code Civ. Proc., § 1281.7.)